

SAASH Panel Verdict

Eight independent analysts, each gated behind live research and none seeing another's work, reviewed a 14-slide investor introduction for a pre-revenue beauty-technology company raising \$20M.

30 AUGUST 2026 5 PASS • 3 CONDITIONAL • 0 INVEST 200,000-RUN MONTE CARLO
NOT FINANCIAL ADVICE

Worth showing investors? Yes – but not this deck, for this ask.

The document is genuinely well made. The sourcing discipline is above average for the stage, the tariff work is exact, the factory costing is honest, and slide 14 states *"No revenue yet. The risk is execution and demand"* – more candour than most pre-revenue decks manage. Sending it out will get meetings.

It will not get a \$20M term sheet, and the reason is not polish. **Three of its load-bearing claims do not survive contact with public information**, and a sophisticated investor will find at least one in the first meeting. Showing it as-is spends the founders' most valuable non-renewable asset – first impressions with a finite list of category investors – on a version that can be falsified in front of them.

The price is what breaks, not the product. That is the most important sentence in this report, and it is also the good news: price is the one variable the founders fully control.

~30% Going concern & self-funding in 5 years	~10% Venture-scale outcome, ≥3x	~70% Fails or becomes a zombie	0.80x Expected MOIC at ~\$80M post	1.8x Expected MOIC at ~\$35M post
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Nobody would invest at the stated ask

ANALYST	MANDATE	VERDICT	CONF .	ONE LINE
Vance	CAC & acquisition	PASS	85%	"Slide 11 assumes a 100% attach rate and calls it a business model."
Hsu	Manufacturing & margin	CONDITIONAL	72%	"The costing is honest. The \$790 price is a demand bet dressed as a margin achievement."
Nandakumar	Regulatory & claims	CONDITIONAL	72%	"The calendar is off by nine months and the Cold Sore claim is live liability today."
Lindqvist	Sensor science & IP	PASS	82%	"The sebum sensor as described may not be physically possible."
Barrow	Competitive response	PASS	78%	"Slide 8's matrix is falsified by three companies, one named on the slide."
Aduba	Retention & attach	PASS	84%	"At 8% attach and \$140 CAC the cohort returns 0.96x. It needs 91% attach to reach 3:1."
Ruhe	Ask & team	PASS AT \$6M	85%	"Priced like a Series A, staffed like a pre-seed."
Blind-spot	Base rates & omissions	PASS ≤\$25M PRE	75%	"Nobody will ask what jurisdiction the shares are issued in."

Every conditional verdict converts to a smaller, milestone-tranched cheque — never to \$20M.

Ranked by damage if an investor finds it first

All three were found by sealed agents using only public sources — which means any competent associate can find them.

The central competitive claim is false, and a brand named on the slide breaks it

"Across all seventeen, the first two columns are empty."

Two agents, working independently and finding different evidence, both falsified this.

- **FOREO** — listed on slide 8 as a partial — has shipped the **BEAR / BEAR 2** since 2019, measuring skin electrical resistance 100–200×/second and auto-adjusting intensity in 0.002s. That is column 1 *and* column 2. It also runs a docking formulation line and 4+ categories. **FOREO plausibly has all four capabilities today.**
- **Nu Skin** — placed in the "none of the four" bucket — launched **Prysm iO** in Q4 2025: a hardware skin scanner taking 70,000+ hyperspectral measurements per scan.
- **Amorepacific** — not among the seventeen at all — unveiled **Skinsight™** at CES 2026 with MIT, an e-skin sensor patch feeding its ONFACE LED mask.
- Also absent: L'Oréal Cell BioPrint, LG Pra.L, AMIRO, JOVS, Ulike, COSBEAUTY — the Korean and Chinese houses where this convergence is furthest along.

It is not an overstatement; it is a checkable factual claim, it founds slides 9 and 10, and the counter-example is a company the deck itself lists. An investor who checks FOREO's product page mid-meeting does not then re-open the margin discussion.

The deeper problem is worse than the error. The columns aren't empty because nobody thought of it — the category tried this and retreated. Neutrogena killed the SkinScanner hardware and relaunched Skin360 camera-only in Jan 2020, the exact inverse of SAASH's thesis by the company that tried it first. P&G dissolved Opté in Jan 2023 despite a 20,000-person waitlist. HiMirror bricked every unit in March 2024. FOREO's own LUNA fofo — discontinued. That history is the strongest argument against the thesis and the deck does not engage with it.

The sebum sensor, as described, may not be physically possible

"Sensors in the controller measure hydration and sebum directly from the skin surface... validated against the Courage + Khazaka standard."

Hydration is real and genuinely melanin-independent — capacitance corneometry reads water in the stratum corneum, melanin sits in the basal epidermis. But it is a commodity: Shenzhen suppliers sell combined moisture/oil OEM modules for tens of dollars, and the principle is 35+ years old.

Sebum is the finding. The Sebumeter SM 815 is not a sensor. It is grease-spot photometry — a consumable matte tape cartridge pressed to the skin and read by a photocell. There is no established solid-state contact sebum sensor; every credible alternative requires a collection medium.

So one of two things is true, and the deck must say which: either the sebum reading is a reflectance proxy described as corneometry-grade measurement, or **the device ships a consumable — in which case a cost line is missing from slide 12**, and the recurring-revenue problem partly solves itself.

Two further defects: "the Courage + Khazaka standard" is factually wrong — these are trademarked instruments, not a standard. And the melanin-independence argument is undercut on its own slide, since slide 9 keeps a camera path for redness, hyperpigmentation and texture — precisely where documented skin-tone bias lives.

The crux nobody has evidence for: no trial exists anywhere testing LED protocols adapted to hydration or sebum readings. The best-powered relevant RCT found LED reduced periocular wrinkle volume ~30% but did not improve hydration at all. The measured variable is one the modality has not been shown to move.

The model silently assumes a 100% attach rate

This is the load-bearing flaw, and it is subtler than the CAC objection everyone reaches for first. Slide 11 presents "THE CUSTOMER SO FAR — \$960, net +\$512" as a property of the model. It is an unlabelled assumption, set to 100%.

- Health & beauty leads all verticals at 21.5% first-to-second purchase — but **77% of second purchases are reorders of the same product; only 23% are cross-sells**. A durable device cannot be reordered, so 77% of the normal repeat mechanism does not exist here. $21.5\% \times 23\% \approx 4.9\%$.
- Durables: above 15% repeat is *outperforming*. The step is 4.6×, across a demographic break.
- No disclosed device-to-device attach rate exists for any at-home beauty brand. Panel estimate: **3% low / 8% base / 15% high** over 24 months.

"Zero acquisition cost on order two" is also false. Retention marketing runs ~\$0.08 per revenue dollar — cheaper than acquisition, not free — plus promo, since \$790 devices move on discount. Net contribution per attach is ~\$347, not \$489.

Rebuilt at \$140 CAC and 8% attach: **LTV \$134 → LTV/CAC 0.96x**. The cohort loses money. Reaching 3:1 requires ~91% attach. Even at the deck's own \$80 CAC it needs ~40% — higher than the best repeat rate any *consumables* beauty brand posts.

03 — THE OTHER SIDE

Where the deck is right, and the common critique is wrong

Adversarial review that only finds faults is not diligence. Three corrections — including to the critique that prompted this panel.

VERIFIED

The \$135 ex-factory cost is plausible — arguably conservative

The intuition that "2,000-unit minimums should produce worse unit costs" is reasonable but wrong here. Independent bottom-up BOM at 2,000 units lands at **\$85–155 ex-factory** after factory margin. \$135 sits upper-middle. They are quoting their *worst* cost point, not a flattering one.

Caveat: \$135 likely excludes tooling/NRE and certification testing, so true first-run cost is nearer \$150–175 and contribution is ~10% overstated at launch volume (\$436 vs \$489). At 20k units the deck's numbers become roughly right.

VERIFIED

The 40.1% tariff decomposes exactly

2.6% MFN on HTS 8543.70.96 — the correct classification, not 9018 — plus 25% Section 301 List 3 plus 12.5% Section 301 forced-labor effective 24 July 2026. This is careful, current, verifiable work and the single most credibility-earning detail in the deck.

But: that 12.5% component was 27 days old at review and is already under challenge, with 25 state AGs filing at the CIT on 3 August 2026. And **"margins that survive a 40% tariff" is true but trivially so** — ex-factory is 17% of retail, so every 10 points of duty costs only 1.7 points of gross margin. Tariff was never this company's risk; claiming it as a strength draws attention away from the ones that are.

REFRAME

The margin gap has an honest answer — the deck just doesn't give it

"78–83% vs incumbents at 62.7%" is not explained by "we're DTC": **TBTG is >90% e-commerce DTC and still only 62.7%**. BeautyHealth's 65.3% is a category error as a comp — capital equipment sold wholesale to clinics.

The real answer: **SAASH prices at \$790 a device that costs roughly what a \$395–650 device costs**. That is a demand bet, not a margin achievement. Saying so is both honest and stronger, because it converts an unanswerable question into an answerable one.

One note in the deck's favour: **every figure on slides 11 and 12 ties**. Contribution reconciles to gross margin, US-to-UAE deltas reconcile to duty differences, all four net figures recompute exactly. The arithmetic is clean; the inputs are the problem. This is an assumptions problem, not a rigour problem — and assumptions are fixable in ninety days.

04 — REGULATORY

The calendar is off by nine months, not the budget

Both cited clearances check out — but **the applicant of record on K242593 is Shenzhen Kaiyan Medical Equipment Co., not CurrentBody**. In this category the clearance frequently sits with the Chinese ODM. Slide 14 claims the UAE entity owns everything outright and says nothing about who would own the 510(k). That is a question about the core asset.

Critical path from a standing start: Small Business Determination must be granted *before* submission (30–60 days, and nothing says it is filed) → accredited-lab testing 8–16 weeks → submission prep 4–8 weeks → review, where the MDUFA goal is 90 FDA days but observed reality is **142–175 calendar days with ~67% receiving Additional Information requests that stop the clock**.

Total 10–14 months per device. **Earliest realistic US clearance is Q2–Q3 2027** against stated dates of Dec 2026 and Feb 2027 — while 35% of the raise buys inventory against those dates.

The Cold Sore claim is the sharpest live risk. "The exact protocol tested double-blind against placebo" refers to real science SAASH does not own — Hargate 2006 and Dougal & Lee 2013, both run on the

Virulite device. That is legitimate inside a 510(k) as supporting literature; it is not legitimate as consumer advertising, where FTC guidance requires evidence *for the advertised product*.

Worst realistic outcome, ordered by likelihood rather than drama: **import refusal under an Import Alert** — an uncleared Class II device is adulterated and misbranded — which strands the inventory, then marketplace delisting, then a Warning Letter, then FTC action. Import refusal plus delisting is what actually kills the company, because it destroys the 35% inventory position.

And **UAE domicile hurts rather than helps**: the Emirates Drug Establishment gates registration on prior approval in a reference country. FDA/CE is *upstream* of the home market — the UAE cannot be launched first, contradicting the deck's own sequencing.

05 — UNASKED QUESTIONS

What the room will miss

Everyone litigates CAC, margin and FDA. These go unasked.

The data asset has an exact settled precedent — against it

Johnson & Johnson's Neutrogena Skin360 AI skin-analysis app: **\$4.7M BIPA class settlement, preliminary approval February 2026**. Same category, same claim structure. Add GDPR Art. 9, **no EU adequacy decision for the UAE** (SCCs on every EU record), and Art. 17 erasure rights that make the "compounding record" deletable on demand. Slide 9 calls the record "the asset the hardware exists to create." It is at least equally a liability — uninsured and unmentioned.

- **There is no financial model in this deck.** No forecast, burn, runway, valuation, cap table or milestone map. Percentages of a pie with no timeline are not a use of proceeds.
- **The cash cycle, not the burn, is the binding constraint.** Deposit → production → sea → customs → sell-through → returns = **230–300 days, about one inventory turn a year**. Of the \$20M, only the \$6M marketing line converts into demand — buying \$5–8M of revenue and less gross profit than the marketing that bought it.
- **The entity is the deal risk.** "A single UAE entity" names no ADGM or DIFC. On mainland UAE, liquidation preference, anti-dilution and drag remain largely untested — which is exactly why funds insist on DIFC/ADGM or a Delaware topco.
- **Safety and insurance are absent entirely.** No IEC 62471 photobiological classification for 213 diodes and 415nm near the eyes, no UN38.3 lithium shipping, no product liability cover named. One recall ends this brand.
- **Governance concentration is total.** Two co-founders own the whole company — no third director, no independent chair, no tiebreak.
- **Returns are mis-modelled.** A used, skin-contact, battery-powered returned device is not resaleable; it is a near-full COGS write-off plus reverse logistics, not a margin haircut.
- **Channel self-contradiction.** Slide 6 says 80% of UAE spend is offline and Chalhoub controls half the market — then elects DTC-only, addressing ~20% of a market of 11M people and calling it "the margin market."

- The deck's own comp caps its upside.** Slide 4 cites TBTG listing at £300m on £141.0m revenue = **2.1x revenue**. A \$20M round at a \$60–80M post needs ~\$40M revenue to justify entry, and a 10x return needs >\$200M — a business larger than TBTG at listing. The deck chose a comp that proves the category monetises and simultaneously proves the multiple is modest.

CAC × attach, not CAC

Blemish contribution is \$103. But **CAC is paid on returned orders too**, which slide 11 ignores — at the deck's own 10–12% returns provision, \$80 becomes ~\$90 per *retained* customer, so order one nets **+\$13, not +\$23**, and fully-loaded break-even is \$92–\$103. The claimed \$80 sits only 22% below its own break-even.

CAC	ORDER-1 NET	ATTACH NEEDED TO BREAK EVEN	LTV/CAC @ 8% ATTACH
\$80 claimed	+\$23	0%	1.68x
\$120	−\$17	3.5%	1.12x
\$150	−\$47	9.6%	0.90x
\$200	−\$97	19.8%	0.67x
\$250	−\$147	30.1%	0.54x

Note the nuance the "CAC kills it" framing misses: at \$150 CAC the model does *not* invert — it needs ~10% attach, near the realistic base rate. **The fatal variable is CAC × attach, and the deck discloses neither.**

The one change that fixes the economics

200,000-RUN MONTE CARLO	AS DRAWN	MASK-FIRST
Median LTV/CAC	0.84x	1.33x
P(≥ 1.0x — returns cash)	32%	81%
P(≥ 1.5x)	7%	35%
P(≥ 2.0x — scalable)	1.3%	12%

Lead with the \$790 mask and down-sell the \$170 devices. Even at a much higher CAC for a considered \$790 purchase, entry contribution is 4.5× larger and the down-sell is the easy direction. Four independent reasons:

- The demand is in masks** — SharkNinja alone sold >\$70M of LED masks in 2025 against a \$35M tracked category the year before, per the deck's own slide 4. Blemish has no comparable pull.
- Down-sell beats trade-up.** A 4.6× step up is the hardest move in DTC.
- No margin argument for leading cheap** — the deck's own table shows mask contribution (61.9%) exceeds Blemish (60.5%).

- **The fatal internal contradiction:** only the mask has the sensors. Leading with Blemish means the data asset — the entire defensibility case of slides 9 and 10 — does not begin until an order two that fewer than 10% of customers ever place.

Outcome distribution

OUTCOME, 5 YEARS	P	GROSS	CONTRIBUTION
Fails / liquidates	44%	0.05x	0.022
Zombie, <\$10M revenue	26%	0.40x	0.104
\$10–50M revenue, trade sale	20%	1.30x	0.260
\$50–150M revenue	8%	3.60x	0.288
Category winner, >\$150M	2%	6.50x	0.130

Base rates behind this: ~65–68% of all VC financings return less than invested capital across 21,600 financings; ~97% of consumer hardware startups die or become zombies; only 17% of the 2022 seed cohort reached Series A within two years; mean three-year revenue shortfall is 44% of forecast; and **24.5% of funded hardware campaigns shipped on their announced date** — against which SAASH has four SKUs from an unfunded position.

Point probabilities: \$80 CAC survives past ~5,000 customers, ~12%. 78–83% margin survives an audited first year, ~15%. All four devices ship on the stated dates, ~5%. Company is a going concern in August 2029, ~55%.

07 — SO, CAN IT WORK?

Yes as a business. Probably not as a \$20M venture investment.

Separate the two questions, because they have different answers.

Can SAASH become a real, profitable company? Roughly **30%** — and materially higher, call it 40–45%, if the ladder is inverted, the ask is cut, and the launch waits for clearance. There is a genuine business here: a well-designed premium device line, honest factory costing, a real tariff position, and a founder who has funded it to production sampling. LYMA does ~\$48M of sales and ~\$7M EBITDA selling \$2,700–\$6,000 devices direct. That is the achievable shape of success, and it is a good outcome for the founders.

Can it return a venture fund? About **10%** — and at a \$20M raise the maths is worse than that suggests, because the deck's own comp values the category at ~2.1x revenue.

The honest read is that **this is a \$3–6M seed story presented as a \$20M Series A** — and the panel converged on that independently from four directions: round structure, cash cycle, team composition, and the valuation ceiling implied by the deck's own comp. The panel's contribution is to say *why* with numbers, and to identify that the load-bearing failure is not the \$80 CAC in isolation but the **undisclosed 100% attach rate it is multiplied by**.

What to do before sending it

Fix before the deck leaves the building — days

- 1 **Rewrite or delete slide 8.** Verify every cell against current shipping products. Then make the stronger argument: "others tried contact sensing and retreated — here is what they got wrong and why we won't."
- 2 **Rewrite the Cold Sore slide.** Remove any implication that SAASH's device was the one tested. Live liability today; costs nothing to fix.
- 3 **State SAASH's own regulatory status** on every SKU, and who will own the clearance. Silence reads as concealment even when it isn't.
- 4 **Label slide 11's attach rate.** Show it at 5%, 10% and 25% with CAC sensitivity beside it. A deck that shows its own downside is *more* fundable — this converts the biggest vulnerability into a credibility asset.
- 5 **Explain the margin instead of asserting it.**
- 6 **Say what the sebum sensor physically is.** If it needs a consumable, that is good news — put it in the model as recurring revenue.

Fix before the raise — weeks

- 1 **Invert the price ladder** — lead with the mask.
- 2 **Cut the ask to \$4–6M**, one market, two SKUs, tranching on milestones. Take super-pro-rata so the \$20M becomes reachable at the A, on evidence.
- 3 **Re-domicile or add a topco** in ADGM/DIFC or Delaware. Without enforceable preference, sophisticated funds cannot invest regardless of the product.
- 4 **Hire the regulatory/hardware lead before the commercial operator.** A delayed 510(k) is terminal; a slow sales quarter is not.
- 5 **Add a financial model.** Forecast, burn, runway, volume assumptions, cap table.
- 6 **Spend \$50–100k proving CAC in one market before raising on it.** The highest-return money the company can spend — a real number from 2,000 real orders is worth more than the entire rest of the deck.

The strongest version of this pitch

One market, one device — the mask — a real CAC number from ninety days of live spend, a filed 510(k), and a \$5M ask. **That deck raises. This one gets meetings and then loses them in the room.**

Five questions that end the meeting

01 "What percentage of \$170 Blemish buyers does your model assume buy the \$790 mask, and over what window? Show me slide 11 rebuilt at 6%."

A killing answer: "we assume they all do," or "we haven't modelled it separately."

02 "FOREO's BEAR has adjusted intensity from a skin-resistance reading since 2019, and it's on your slide 8. Walk me through that cell."

03 "Is the sebum measurement a solid-state sensor or does it use a consumable? If solid-state, what is the operating principle?"

04 "What is SAASH's own 510(k) status on each device, and who owns the clearance — the UAE entity or the factory?"

05 "What jurisdiction are the shares issued in, and how does my liquidation preference get enforced there?"

Convergence, dissent, and what is weakest here

Where sealed agents independently agreed

Different evidence, same conclusion — the strongest signals in the panel. **Slide 8 is falsifiable** (sensor-science and competitive agents, via entirely different companies). **The 100% attach assumption is the load-bearing flaw** (CAC and retention agents). **This is a seed, not a Series A** (round-structure and base-rate agents, from different premises). **Regulatory timing, not budget, breaks the plan** (the regulatory critical path and the 24.5% on-time shipping base rate agree closely).

Where the panel dissented from the prevailing critique

The manufacturing agent **rejected** the claim that the margin is implausible or the costing understated. \$135 at 2,000 MOQ is honest and the tariff work is exact. The margin question is a *pricing* question, not a *costing* question. Attacking the cost line in a meeting would be a mistake — the founders can defend it, and defending it well would let them dismiss the more serious objections by association.

Lowest-confidence findings

The attach-rate estimate rests on adjacent benchmarks, since no disclosed category data exists anywhere. The founder-identity inference rests on the deck's "sport and entertainment" line rather than any named employer or date, and should be verified rather than assumed. And no conclusion here reflects the "full evidence pack" the deck offers on request, which was not available to this review and could change the regulatory and validation sections materially.

Panel executed 30 August 2026. Eight sealed agents, live web research, no consensus permitted. Deck text extracted from the source PDF; all internal arithmetic independently recomputed; Monte Carlo at 200,000 runs. This is a read of one document and public sources — not diligence on the underlying business, and not financial advice. No management interview and no data room.